

diaries and dubious influencers is the capital markets regulator's biggest concern.

Social media is replete with instances of investors complaining about being misled by the influencers who put out their trading track record, but more importantly, fake huge amounts of profits made on stocks or strategies that they share through their channels on YouTube and Telegram, among other platforms.

Vijay Chandok, MD and CEO of ICICI Securities, one of the largest full-service brokerage firms, says that while many finfluencers started with the noble intention of increasing financial education, many veered towards doling out stock tips and mis-selling, even faking their own performance.

"With time, a section of influencers began posing

age for leading investors to the firm's platform.

Or at times, the finfluencer might be luring investors by sharing fake profit screenshots and convincing the investor to share their trading account login credentials only to engage in manipulative trades or pump up volume in illiquid stocks to show a temporary but artificial price rise.

In fact, many influencers are known to charge hefty fees to offer "premium" investment advice through subscription to their Telegram channels, and these fake profit and loss (P&L) statements help them attract more subscribers. And such fees are over and above the other arrangements that they enter into with market intermediaries—referral fees for promoting a brand, platform, or service; profit sharing by pushing volume

## UNREGISTERED ADVISORS, BEWARE!



**Sebi has passed nearly a dozen orders against unregistered investment advisors since November 2022**



**Sebi action included combination of market ban, monetary penalty, and refund of investor fee, among other things**



**In May, Sebi barred P.R. Sundar, a finfluencer with over a million followers on YouTube, from the securities market for one year**



**Sundar was also ordered to disgorge fees along with interest amounting to ₹6.08 crore**

as stock experts and pushing stock tips and mis-selling without adequate disclosures. There are [several] instances where these influencers have breached ethics by faking returns (to gain more followers) or participating in 'pump and dump' schemes, enriching only themselves," says Chandok.

To be sure, collaborations and partnerships between some top finfluencers and leading broking firms, mutual funds, and other regulated market intermediaries are relatively transparent.

It is the lesser-known ones and their nexus that are the crux of the problem, as the influencer might not be disclosing that he or she is getting a cut from a broker-

or getting new clients through their videos; or lump sum compensation that could run into lakhs. Interestingly, this trend has not gone unnoticed, and a section of market participants are trying to put in place countermeasures through which at least the menace of fake P&L statements or screenshots can be addressed.

### COUNTER MEASURES

"We have incorporated verified P&L on our platforms, which allows users to share real-time trading performance with 100 per cent accuracy and transparency," says Tejas Khoday, Co-founder and CEO of FYERS, a new-age online trading and investment platform.